WAVERLEY GATEWAY GUIDE

Connecting International Capital

SWEDEN

Europe

Information current as of November 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Stockholm	Capital and largest economy; seat of government, the Riksbank and the headquarters of many global groups, with a deep technology and finance ecosystem	Fintech, software, life sciences, professional services
Gothenburg and West Sweden	Industrial heartland and major west-coast port city, home to a large automotive and engineering cluster	Automotive, engineering, logistics, shipping
Ringhals / Varberg (west coast)	Planned site of Sweden's first new nuclear reactors in decades, developed by Videberg Kraft with a 60% state stake	Nuclear energy, engineering, construction services
Skellefteå (Västerbotten)	Former Northvolt Ett battery plant, now owned by Lyten and being developed as an industrial hub with co-located data centres	Batteries, energy storage, data centres
Boden and Luleå (Norrbotten)	Site of Stegra's green steel plant, which closed a €1.4 billion financing round in June 2026	Green steel, hydrogen, renewable power, mining services
Malmö and the Öresund region	Southern gateway linked by bridge to Copenhagen, forming a cross-border labour and logistics market	Life sciences, logistics, food, technology
Västerås and the Mälardalen region	Industrial and engineering centre west of Stockholm, home to Lyten's battery research laboratories	Electrification, automation, battery R&D

INVESTOR ENTRY ROUTES

- Business Sweden, the government's trade and investment agency, provides free, confidential support to international companies investing and expanding in Sweden
- A flat 20.6% corporate income tax with no municipal or local corporate taxes, within a transparent, rules-based tax system
- The FDI Act (2023:560), in force since 1 December 2023, requires notification to the Inspectorate of Strategic Products for stakes in protected activities such as energy, defence, critical raw materials and data; Phase I review takes 25 working days
- EU single-market and Schengen membership, giving free movement of goods, services, capital and people and access to all EU trade agreements

- Swedish krona with free capital movement; the Riksbank sets monetary policy independently and Sweden is not in the euro area
- State-backed nuclear new-build framework offering government loans, two-way contracts for difference and risk-sharing, starting with Videberg Kraft at Ringhals
- Large green-industry and electrification projects in northern Sweden, such as Stegra and Lyten, creating supply-chain and partnership routes

MARKET-ENTRY OBSERVATION

Sweden in November 2026 offers investors one of the EU's most innovative and well-governed economies, with low public debt, a 20.6% corporate tax and a strong record in technology, engineering and clean industry. Growth has picked up: GDP rose 1.6% quarter-on-quarter in the second quarter of 2026, the fastest since early 2024, helped by investment in machinery, equipment and defence, and grew 2.8% year-on-year in the third quarter. Inflation is low, with CPIF inflation at 1.5% in September and a flash 1.1% in October, partly reflecting lower food prices. Business Sweden reports that FDI inflows reached SEK 287 billion in 2025, up 37%, and the stock of inward investment exceeds 70% of GDP, with US companies the largest single investor group. With the policy rate raised to 2% in November to keep inflation on target, the Riksbank is signalling confidence in the recovery.

Sweden's main near-term challenge is political: the September 2026 election left the centre-left opposition with 176 of 349 seats, but its four parties disagree on the shape of a government. Parliament rejected Magdalena Andersson as prime minister on 15 October and Centre Party leader Elisabeth Thand Ringqvist on 3 November, and Ulf Kristersson leads a caretaker government, which is presenting a 2027 budget that largely carries over current spending. Unemployment, at 8.6% in September, is also high by Nordic standards. The fundamentals cushion these issues: general government debt was 35.1% of GDP in 2025, all parties support continued defence rearmament, and constitutional rules require a new election within three months if four prime-ministerial votes fail. Strong public finances leave room for whichever government forms to support investment in energy, defence and industry.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Government formation after the September 2026 election	Two prime-ministerial candidates have been rejected and a caretaker government is in office, which may delay new policy decisions	Existing law, budgets and EU rules continue to apply; plan for policy continuity and monitor the remaining votes and any extraordinary election
Foreign investment screening	Stakes in protected activities, including energy, defence, mining and data, require notification to the Inspectorate of Strategic Products, with fines of up to SEK 100 million for failure to notify	Assess notification needs early and build Phase I (25 working days) or Phase II (three to six months) review into deal timetables
Currency and interest-rate exposure	As a non-euro EU member, investors face krona exchange-rate risk, and the Riksbank raised its policy rate to 2% in November 2026	Hedge krona exposure and model rates; low inflation and strong public finances support the krona's stability over time
Labour market and costs	Unemployment of 8.6% sits alongside skills shortages in engineering and technology, and labour costs are high	Use automation, partner with universities and draw on the wider Öresund and Nordic labour markets
Execution risk in large green-industry projects	Northvolt's bankruptcy and Stegra's need for rescue financing show the risks in first-of-a-kind projects	New owners and investors, including Lyten and a Wallenberg-led consortium, have stabilised both, creating entry points for suppliers
Energy prices and grid capacity	Electricity and fuel prices rose by 17% and 20% in the year to September 2026, and northern grid connections can take time	Secure long-term power contracts early; new nuclear and northern hydro capacity strengthen the medium-term outlook
Regional security	Sweden borders the Baltic Sea region affected by Russia's war in Ukraine	Defence spending is rising towards 3.5% of GDP by 2030, with cross-party support, creating opportunities in defence and resilience

INVESTOR RISK NOTE

Sweden's risk profile is that of a stable, high-income EU democracy with low public debt, strong institutions and an independent central bank. The main issue for investors is the period of government formation after the September 2026 election: a caretaker government under Ulf Kristersson remains in office, two prime-ministerial votes have failed, and an extraordinary election must be held within three months if four votes fail. This affects the timing of new policies rather than the legal or regulatory framework, and all parties support higher defence spending. Investors in sensitive sectors should note the FDI screening regime run by the Inspectorate of Strategic Products, which can attach conditions to or block deals and should be addressed early with legal advice. Sweden is a FATF member since 1990 and its anti-money-laundering framework was rated as strong in its 2017 evaluation. Krona exposure and the start of monetary tightening, with the policy rate at 2%, are manageable through standard hedging.

MARKET ACCESS

As an EU member, Sweden gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Schengen membership allows passport-free travel across most of the EU, and the Öresund bridge links southern Sweden with Copenhagen and continental Europe. Sweden's west-coast and Baltic ports connect it with global markets, while its electricity grid is integrated with Nordic and European markets. Sweden keeps the krona and remains outside the euro area, so trade with euro-area partners carries currency costs that most exporters hedge. Its membership of NATO and close Nordic cooperation reinforce its role as a secure base for defence, energy and industrial supply chains in Northern Europe.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government Offices of Sweden (caretaker Prime Minister Ulf Kristersson)	Caretaker government since September 2026 pending the formation of a new government by the Riksdag	Primary reference point for policy continuity and the 2027 budget
Business Sweden	Government trade and investment agency offering free support to international investors	Standard first point of contact for market entry and site selection
Sveriges Riksbank	Independent central bank; raised the policy rate to 2% in November 2026 to keep inflation near its 2% target	Relevant for monetary conditions, the krona and financial stability
Ministry of Finance (Elisabeth Svantesson)	Prepares the caretaker 2027 budget and oversees tax policy and state finances	Key counterpart on tax, fiscal and public-finance matters
Inspectorate of Strategic Products (ISP)	Screening authority under the FDI Act and for export controls	Essential counterpart for investments in protected activities
Swedish National Debt Office (Riksgälden)	Manages central government borrowing and debt, forecast at 21% of GDP in 2026	Relevant for sovereign financing and public-finance outlook
Vattenfall and Videberg Kraft	State energy group and the company developing new reactors at Ringhals, in which the state will take a 60% stake	Counterpart for suppliers and investors in the nuclear programme

CURRENT INTERNATIONAL BUSINESS CHANNELS

Business Sweden supports international investors and works with regional investment promotion bodies across the country. The American Chamber of Commerce in Sweden, the British-Swedish Chamber of Commerce, the German-Swedish Chamber of Commerce and the Stockholm Chamber of Commerce are active business associations, while the Confederation of Swedish Enterprise represents domestic employers. Family-controlled investment groups, including the Wallenberg sphere, are influential partners, as the Stegra financing round showed. The European Investment Bank and the Nordic Investment Bank are active in energy, industry and

infrastructure finance, and embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Sweden suits investors seeking a stable, innovative EU base with excellent governance: technology, fintech and life-sciences companies drawing on Stockholm's ecosystem; energy investors and suppliers targeting the nuclear new-build programme, renewables and grid expansion; green-industry and battery investors in northern Sweden around Stegra and Lyten's Skellefteå hub; defence and dual-use firms benefiting from rising defence spending; and data-centre developers using clean, competitive power. Investors in protected sectors should plan for FDI screening from the outset.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Business Sweden and regional investment bodies
Open direct dialogue on site options, incentives and introductions to partners and suppliers.

STEP 2: Assess FDI screening requirements
Check with legal advisers whether the target activity is protected under the FDI Act and plan notification to the Inspectorate of Strategic Products.

STEP 3: Track government formation and the 2027 budget
Monitor the remaining prime-ministerial votes, the caretaker budget and any extraordinary election, and their effect on tax and energy policy.

STEP 4: Secure power and grid access early
Negotiate long-term electricity contracts and grid connections, particularly for energy-intensive projects in northern Sweden.

STEP 5: Position for energy, defence and green-industry supply chains
Target procurement and partnerships linked to Videberg Kraft, Stegra, Lyten and the expanding defence budget, and hedge krona exposure.